

Himadri Speciality Chemical Ltd

Concall Tracker · Q1 2027 (covers up to Q1 FY27, call 16 Jul 2026) · Screener transcripts · Not investment advice

1. Snapshot

What the business does: Himadri is India's largest maker of **coal tar pitch** and **carbon black** — thick carbon materials refined from coal tar. Coal tar pitch is the "glue" that binds the carbon blocks aluminium smelters and graphite-electrode makers use; carbon black is the black powder that goes into tyres, plastics, paints and inks. It sells the plain (commodity) grades for scale and steadily converts them into higher-priced **speciality** grades. It is now spending heavily to enter **lithium-ion battery materials** (LFP cathode and graphite anode) — the parts inside an electric-vehicle battery. It also owns the revived **Birla Tyres** business.

₹39,844 Cr

Market cap — the market's price tag on the whole company.

₹4,405 Cr

FY26 sales — total revenue, down ~4% on FY25 as it chose value over volume.

₹750 Cr

FY26 net profit — money left after all costs; up ~34% on FY25's ₹558 Cr.

21%

FY26 operating margin — ₹21 operating profit per ₹100 of sales, up from 9% in FY23.

22.5% / 18.1%

ROCE / ROE — returns on capital and on shareholders' money; both healthy.

50.4x

Price-to-earnings — richly valued; the market is paying up for future growth.

Debt: borrowings rose to ₹723 Cr at Mar-2026 (from ₹310 Cr a year earlier) to fund the capex push, but management says the programme is self-funded from cash flow with net debt low (₹107 Cr net debt as of Q1 FY26). Promoters hold 52.5% and have been raising their stake (from ~45% in 2023) — a confidence signal.

2. Concall coverage

Quarter	Call date	Read?
Q4 FY25	29 Apr 2025	Yes — full
Q1 FY26	18 Jul 2025	Yes — full
Q2 FY26	24 Oct 2025	Yes — full
Q3 FY26	21 Jan 2026	Yes — full
Q4 FY26	~May 2026	Transcript not on Screener (bracketed by Q3 FY26 & Q1 FY27 calls; Q4 FY26 numbers taken from financials)
Q1 FY27 ★	16 Jul 2026	Yes — full (latest)

Five recent calls read in full, spanning ~15 months (FY25–FY27). Screener also lists older 2016–2017 calls, but a multi-year gap makes those irrelevant to today's story; the analysis below rests on the FY25–FY27 window. The Q4 FY26 (May 2026) transcript was not downloadable from Screener — a small gap, closed using the surrounding two calls and the reported Q4 FY26 financials.

2b. Latest concall highlights — Q1 FY27 (call 16 Jul 2026)

- **Growth is back.** Consolidated revenue ₹1,432 Cr, up 28% year-on-year (from ₹1,118 Cr) — the first strong top-line jump after ~2 years of near-flat volumes; EBITDA (operating profit) ₹313 Cr, up 33%, margin 22%; net profit ₹228 Cr, up 27%. Plain read: both sales and profit grew together this time, not just profit.
- **Two new products launched.** Announced indigenous **Carbon Nanotube (CNT)** — a super-strong, highly conductive carbon material — a 200-tonne plant (₹70 Cr) for Q4 FY27; and **Super Speciality Carbon Black**, converting 6,000 tonnes (₹170 Cr) for very high-margin niche uses. Both are small in volume but very high value.
- **Battery-materials build-out on track.** The 200-tonne graphite **anode** plant at Mahistikry was commissioned in April 2026; the first 2,000-tonne **LFP cathode** line is targeted for Q3 FY27, the first step of a 40,000-tonne (FY28) and eventually 200,000-tonne plan (₹4,800 Cr capex).
- **Guidance reaffirmed.** Management again backed **₹1,100 Cr net profit by FY28** and said "nothing negative" has changed. Coal tar + new capacity running at ~80% utilisation, targeting 90%+ this year.
- **Tone:** confident and expansive, but guarded on specifics — declined to disclose new-product margins, LFP pricing detail and exact approval timelines, citing competition.

2c. Business mix & capacity

Domestic vs export: In the core coal tar pitch business, domestic market share is **over 65%**; products sell into ~56 countries, with new liquid-pitch export terminals at Haldia and Mangalore opening overseas markets. A precise company-wide domestic/export revenue split was **not broken out** by management — so no single number is stated here.

Capacity & utilisation: Coal tar distillation ~600,000 tonnes/yr (world's largest single site), being expanded from 500,000 via debottlenecking; total carbon black 250,000 tonnes (of which 130,000 speciality, doubled during FY26). Core plants run at **~80% utilisation, targeting 90%+ —**

plain read: there is room to lift output ~10-20% from existing assets before new plants are needed, which is exactly what is now driving volume growth.

3. Earning-trigger thesis

The durable, playing-out trigger is a **two-part earnings engine: (a) a relentless mix-shift from commodity carbon into higher-margin speciality grades, and (b) fresh capacity unlocking volume growth after two years of being capacity-capped**. This has already lifted the operating margin from 9% (FY23) to 21% (FY26) and EBITDA-per-tonne up ~15% year-on-year, even while volumes were flat. With speciality carbon black capacity now doubled and coal tar debottlenecked, volume growth returned in Q1 FY27 (+28%). Layered on top is a **large but still-unproven optionality** — the battery-materials bet (LFP cathode + anode + silicon-carbon), a huge addressable market but FY28-and-beyond, unproven on margins and competing head-on with China.

Trigger	What management said	Evidence so far	Horizon	Strength
Mix shift to speciality (value over volume)	Grow profit faster than revenue by moving up the value ladder	Delivered — OPM 9%→21% in 3 yrs; EBITDA/tonne +15% YoY; PAT nearly doubled FY24→FY26	Ongoing	Strong — hard numbers back it
New capacity unlocking volume	Speciality CB 60k→130k tonnes; coal tar 500k→600k; growth from Q4 FY26 onward	SCB trial started Q3 FY26; Q1 FY27 revenue +28% — growth clearly returning	Now–FY27	Strong — evidence in latest quarter
Battery materials (LFP cathode, anode, Si-C)	40k-tonne LFP by FY28, 200k ultimate; anode live; ₹3,000 Cr revenue potential	Anode plant commissioned; LFP sampling with partner IBC; but revenue only from FY28, margins undisclosed	FY28+	Moderate/Unproven — big TAM, no revenue yet, China competition
Birla Tyres turnaround	EBITDA breakeven in FY27; ₹3,000 Cr revenue in 4–5 yrs	Ops restarted May 2025, sales ramping (₹127 Cr/qtr); still loss-making	FY27+	Weak/Early — not yet profitable

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Standing target	Double FY24 PAT (₹411 Cr) by FY27	Nearly reached by Q2 FY26 — well ahead of schedule (FY26 PAT ₹750 Cr)	Delivered (ahead)
Q4 FY25 → Q3 FY26	Speciality carbon black 60k→130k tonnes operational by Q3 FY26	Trial production started Jan 2026 (Q3 FY26) — on time; world's largest single site	Delivered
FY26	Commission graphite anode plant (Mahistikry)	200-tonne plant commissioned April 2026	Delivered
FY25–FY26	Open export corridors (Haldia + Mangalore liquid-pitch terminals)	Both commissioned; first Middle East shipment made	Delivered
FY25 onward	Expand margins via value-added mix	OPM 15%→19%→21% (FY24→FY25→FY26); every quarter's PAT up double-digit YoY	Delivered
Ongoing	LFP cathode 40k tonnes by FY28; ₹1,100 Cr PAT by FY28	On track by their account; reaffirmed Q1 FY27 — but not yet due	Too-early
Q1 FY27	Mining segment to contribute	Mining paused — awaiting environmental clearance/licensing; hit "other segment" profit	Slipped

Narrative drift: The core story — climb the value ladder in carbon, expand capacity, expand margin — has stayed remarkably **steady and delivered** across every call. What has clearly **broadened** is the ambition: each quarter adds a new vertical (CNT, super speciality carbon black, LFP, anode, silicon carbon, natural graphite, tyres, anthraquinone/carbazole). This "story-stacking" is the main watch-item — it raises execution risk and the biggest long-term bet (LFP vs China) is still unproven and capital-heavy. Tone has been consistently confident, though management is deliberately tight-lipped on new-product margins and exact timelines. Minor honesty markers: they were candid about flat volumes (capacity-capped), forex losses (two quarters), and the paused mining operation.

5. Bottom line — two verdicts

Durable earning trigger? → YES

The near-term engine is concrete and already showing in the numbers: margins tripled (9%→21%) over three years, EBITDA-per-tonne keeps rising, and after two capacity-capped years volume growth returned hard in Q1 FY27 (+28%). That is a real, evidenced driver — not a promise. The battery-materials bet adds a large but unproven upside on top; even setting that aside, the core mix-plus-capacity trigger stands on its own, so YES. Caveat: the richest part of the long-term thesis (LFP cathode) is still pre-revenue and faces Chinese competition, so a chunk of today's 50x valuation rests on execution not yet proven.

Management consistent? → YES

The promised-vs-delivered record is strong: they doubled FY24 profit well ahead of the FY27 target, commissioned the speciality carbon black expansion and the anode plant on time, opened both export terminals, and grew profit every single quarter. Margins marched up exactly as management said they would. The one genuine reservation is the widening ambition — a new vertical almost every quarter — which could strain execution and where the biggest bet is unproven; and a couple of minor slips (mining paused, forex losses). But on what they actually promised and could control, they have delivered, so YES.

Sources: Himadri Speciality Chemical earnings-call transcripts (Q4 FY25 29 Apr 2025; Q1 FY26 18 Jul 2025; Q2 FY26 24 Oct 2025; Q3 FY26 21 Jan 2026; Q1 FY27 16 Jul 2026) and Screener.in financial snapshot. Q4 FY26 call transcript was unavailable on Screener; its financials were used instead. This is an AI-generated summary of management commentary, not investment advice. Do your own due diligence.